

The “yield spread” is the difference in yield-to-maturity between two security indexes. The spread between Treasuries and corporate bonds widens or narrows as the risks in each market change. When corporate spreads narrow, corporate bonds perform well. When the spread increases, government bonds are outperforming.

There are a number of factors that explain why the yield spread increases and decreases. These factors tend to revolve around the boom-bust cycle of the economy. Spreads widen when investors see deteriorating economic conditions, and vice versa. More information on the behavior of credit spreads and bond investing in general is available in [Chapter 8](#).

Notice in [Figure 4-4](#) how negative correlation between Treasury bond and corporate bond returns reduced fixed-income risk during the past decade. Corporate bonds produced a higher return during most 10-year periods and no less return in the decades when they did not beat Treasuries.

FIGURE 4-4

Intermediate-Term T-Notes and Intermediate Corporate Bonds: Decade Risk and Reward